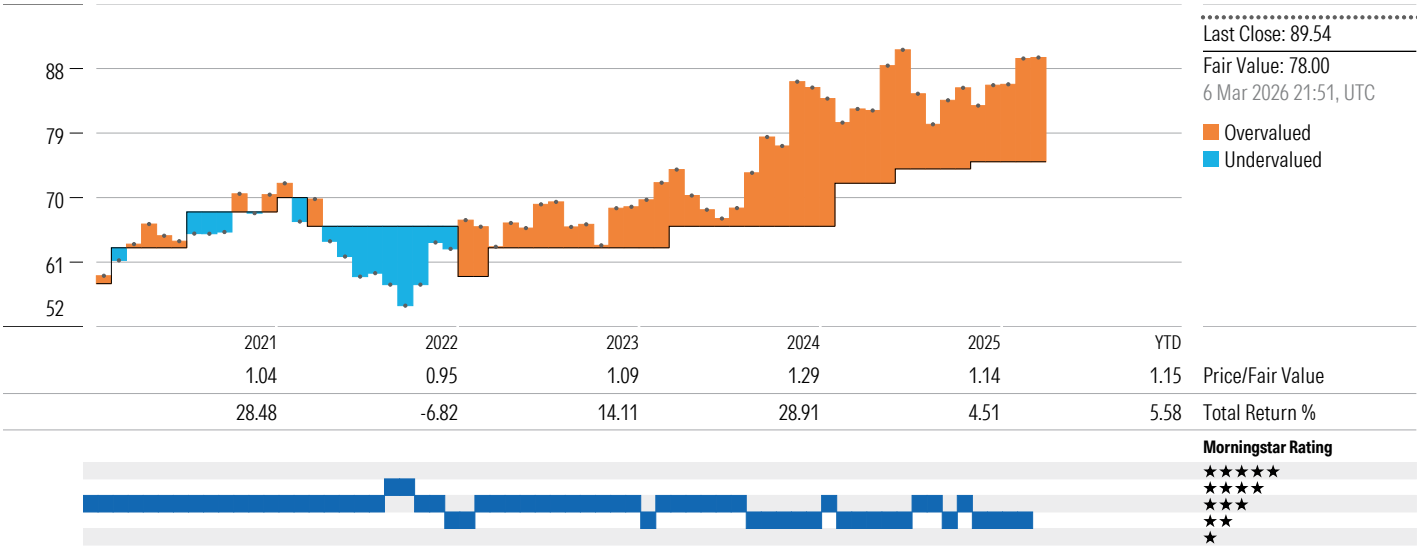
Sun Life Financial Inc SLF ★★ 6 Mar 2026 21:53, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
89.54 CAD 5 Mar 2026	78.00 CAD 6 Mar 2026 21:51, UTC	1.15	48.81 CAD Bil 6 Mar 2026	None	Large Value	Medium	Standard	4 Mar 2026 06:00, UTC

Price vs. Fair Value



	2021	2022	2023	2024	2025	YTD
Price/Fair Value	1.04	0.95	1.09	1.29	1.14	1.15
Total Return %	28.48	-6.82	14.11	28.91	4.51	5.58

Total Return % as of 05 Mar 2026. Last Close as of 05 Mar 2026. Fair Value as of 6 Mar 2026 21:51, UTC.

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The primary analyst covering this company does not own its stock.

[1]The ESG Risk Rating Assessment is a representation of Sustainalytics' ESG Risk Rating.

Sun Life's Asset Management Business Generates Stable Cash Flows to the Firm

Business Strategy & Outlook Maoyuan Chen, Equity Analyst, 6 Mar 2026

Sun Life Financial is one of the Big Three Canadian life insurers that collectively represent about 80% of the nation's life insurance premiums. The firm's strategic priorities include investing in digital capabilities, expanding its alternative asset management business (Sun Life Capital Management), increasing its health benefits market share and service offerings, and accelerating its Asian growth.

Like many of its peers, the company made material changes following the global financial crisis, most notably selling its lagging US life insurance and annuities business and reducing its overall risk profile. The company's current business mix is adequately diversified with a 43% contribution from asset and wealth management, 30% from traditional individual protection-related products, and 27% from group and health insurance, which is relatively less risky.

Sun Life has a leading market position in Canada, and its domestic returns have been generally better than those of other markets. In the US, the company is more focused on the group benefits market. Sun Life is currently focusing on turning around its US dental business, whose claim severity rose coming out of covid-19 and is currently facing headwinds from the Medicaid budget. The firm is working on both repricing and cost management for its US dental business. Its Asia segment returns have been lagging due to its relatively weak market positions. While we expect its Asian return profile to improve

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Sector Financial Services

Industry Insurance - Diversified

Business Description

Sun Life Financial is one of the Big Three Canadian life insurers. The Canadian business contributed around 38% of adjusted earnings. In that segment, the firm provides health, life insurance, and annuity products to individual and group customers. Its US business is mostly group health and contributed about 20% of the firm's adjusted earnings in 2024. Sun Life also offers life insurance and wealth products in several Asian markets with a strong presence in Hong Kong and the Philippines. The Asia segment contributed around 18% of adjusted 2024 earnings. Its asset management business had around CAD 1.1 trillion total assets under management or administration at the end of 2024 and represents around 34% of the firm's earnings.

after it achieves a better scale, we expect competition to remain intense. For its asset management business, Sun Life has made a few acquisitions in the alternative space to expand SLC's scale and products, and we think the management team will be open to future bolt-on deals.

Sun Life's medium-term objectives include underlying EPS growth of 10%, underlying returns on equity of 20%, and a dividend payout rate of 40%-50% of underlying earnings. We think the 20% ROE target is too lofty from a midcycle perspective. We also note the firm's underlying ROE target is higher than its Canadian peers, which is partially driven by the firm's larger earnings mix from asset-light businesses like wealth and asset management.

Bulls Say Maoyuan Chen, Equity Analyst, 6 Mar 2026

- Sun Life has a dominant market position in many segments in the Canadian market and generates decent returns.
- Sun Life generates about 40% of its earnings from the asset and wealth management segment, which is less risky than its life insurance business and is a source of relatively stable cash flows.
- Sun Life's Asian operations benefit from higher growth opportunities than its domestic market.

Bears Say Maoyuan Chen, Equity Analyst, 6 Mar 2026

- Sun Life could suffer from higher credit costs in the current private credit cycle, which will decrease the firm's profitability.
- Sun Life offers a wide range of complex insurance products that expose it to underwriting, investment, capital market, and rate risks, making it difficult to predict the company's overall risk exposure, especially during periods of economic turbulence.
- The market for life insurance and income-based retirement products is competitive and commoditized, and it is difficult for firms to find value-accretive growth in mature

Economic Moat Maoyuan Chen, Equity Analyst, 6 Mar 2026

Due to its heavy exposure to the highly competitive life insurance industry, which is distinguished by relatively undifferentiated and easily replicable products, we do not believe that Sun Life has carved out an economic moat. While the firm's traditional asset management business, MFS, has a well-known brand, its heavy focus on the active US equity space and US retail distribution make it more susceptible to fee compression and outflows. We think Sun Life's focus on growing its alternative asset management business, SLC, is the right move, but represents only a mid-single-digit percentage of consolidated earnings.

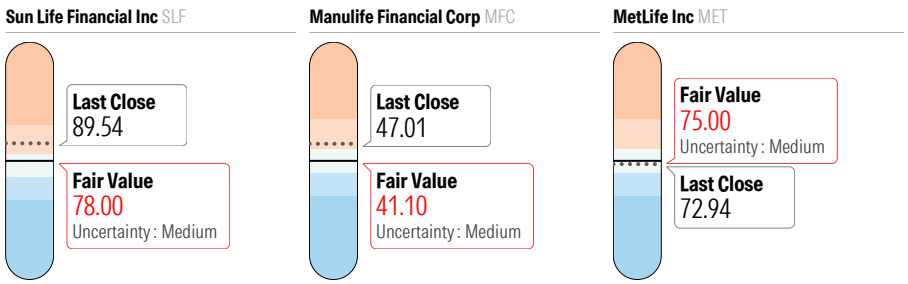
While our projected midcycle ROE of around 16.8% for Sun Life is higher than our 11% cost of equity, we do not believe that there is sufficient qualitative substantiation to justify an economic moat for the firm's core life insurance operations (over 60% of its earnings). We estimate its life insurance business is at best earning its 11% cost of equity if we exclude the asset-light wealth and asset management

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Competitors



	Sun Life Financial Inc SLF	Manulife Financial Corp MFC	MetLife Inc MET
Economic Moat	None	None	None
Currency	CAD	CAD	USD
Fair Value	78.00 6 Mar 2026 21:51, UTC	41.10 14 Nov 2025 17:03, UTC	75.00 10 Nov 2025 22:00, UTC
1-Star Price	105.30	55.49	101.25
5-Star Price	54.60	28.77	52.50
Assessment	Overvalued 6 Mar 2026	Overvalued 6 Mar 2026	Fairly Valued 6 Mar 2026
Morningstar Rating	★★6 Mar 2026 21:53, UTC	★★5 Mar 2026 23:05, UTC	★★★5 Mar 2026 22:34, UTC
Analyst	Maoyuan Chen, Equity Analyst	Maoyuan Chen, Equity Analyst	Maoyuan Chen, Equity Analyst
Capital Allocation	Standard	Standard	Standard
Price/Fair Value	1.15	1.14	0.97
Price/Sales	1.32	1.51	0.65
Price/Book	2.07	1.78	1.68
Price/Earning	14.56	15.31	15.49
Dividend Yield	4.02%	3.84%	3.11%
Market Cap	49.59 Bil	78.82 Bil	46.84 Bil
52-Week Range	74.56—94.76	36.93—52.97	65.21—85.00
Investment Style	Large Value	Large Value	Mid Value

businesses. Further, our projection for strengthening returns is at least partially attributable to IFRS accounting changes (which reduced reported equity by roughly 22%, by our math) rather than fundamental improvements in the underlying businesses. Unique relative to its peers, Sun Life derives around 40% of earnings from its capital-light asset management business and wealth business, which bolsters its return profile. We also note that the firm aspires to increase its Asia life insurance business and US life and health insurance at double digits, and we believe that will be dilutive to returns.

There are two major sources of profits for life insurers: underwriting profit, or earned premiums minus claims and operating costs, and investment income, or yield on the firm's investment portfolio. We view underwriting profit as the ultimate source of any economic moat for life insurers. While insurers can earn higher investment returns for a short time, this is often driven by greater risk-taking or good fortune, and we don't view investment income as a source of durable competitive advantage. Moreover, insurers are also exposed to investment risk, and investment losses can eat away underwriting profit

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margin easily. Most life insurance policies are long-duration and are backed by long-duration assets, making life insurers more exposed to capital markets than property and casualty insurers.

We think that there is little sign of brand-driven intangible assets in the life insurance industry and that consumers are largely making purchasing decisions based on price. We don't believe scale advantages apply to life insurers, as a material portion of their operating cost base is variable commissions. Additionally, we believe it's hard for life insurers to carve out an underwriting advantage, as morbidity rates, mortality rates, and lapse rates are highly predictable. With respect to technology investments, we see some edge from better data analysis that might improve the industry's claims rate marginally, but we think that most of the benefits would be competed away or passed on to consumers through lower pricing. Poorly structured life insurance policies (products with generous guarantees like minimum benefits or minimum payments) can expose life insurers to heavy losses in a severe market downturn. As we have seen in prior periods, poor underwriting can put pressure on the company for many years and even result in bankruptcy. Insurers do not know their cost of goods sold for many years, allowing them to underprice policies without knowing it. Managers at firms may also have an incentive to chase growth without regard for profitability, a cycle in which competitors are forced to match low prices or risk losing business.

Sun Life is one of the Big Three Canadian life insurers (Manulife, Great-West, and Sun Life) that together contribute to over 80% of life insurance premiums in Canada. The firm has life insurance businesses in Canada, the US, and Asian markets, and we estimate its life insurance earnings comprise around 63% of its total earnings. We don't think Sun Life's life insurance business has a moat, as it earned around its 11% cost of equity, and as we don't expect it to outearn its cost of equity on a normalized basis. Briefly considering each market in sequence, Sun Life's Canadian segment contributed around 38% of its 2024 adjusted earnings. In its largest market, Sun Life derived around 41% of its earnings from group insurance (health and protection), 29% from individual insurance, and 30% from its wealth and asset management business. Sun Life is the second-largest group health insurance provider in Canada. We like its group benefits insurance business, as the life insurer can reprice the policies annually based on claims experience, and it is relatively capital-light compared with individual life insurance. We also think its Canadian wealth and asset management business benefits substantially from having its own distribution network. Sun Life also has a leading position in Canada's group retirement services market.

Turning to the US, Sun Life's US business is mostly composed of group benefits insurance, and the firm has built its US operations through both organic investments and acquisitions, the largest being the USD 2.5 billion acquisition of DentaQuest (dental benefits provider) in 2022. The US segment contributed around 17% of Sun Life's consolidated earnings in 2025. Sun Life stopped selling its individual life and annuity policies in 2012. Around 71% of its US earnings come from its group benefits business, 6% from its dental business, and the remaining 23% from its closed block of individual life

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and annuity products. Its US dental business is currently in turnaround mode, as the firm is still navigating headwinds of re-enrolling and repricing in its Medicaid business after covid-19. We expect the profitability of Sun Life's US business to improve after the negotiations are completed with each state under the revised Medicaid dental plan, but the overall budget cut in the Medicaid will delay its turnaround efforts.

Lastly, Sun Life's Asia segment contributed around 18% of Sun Life's earnings in 2025. Sun Life is a pan-Asian operator with a presence in eight different markets, providing individual life insurance and wealth products to its Asian customers. In its largest Asian market, Hong Kong, Sun Life is one of the top 10 life insurers by sales and the third-largest MPF (Hong Kong government Mandatory Provident Fund Scheme) provider. It is the largest life insurer in the Philippines as well as the second-largest mutual fund provider. Apart from Hong Kong and the Philippines, Sun Life also has some other markets that it aspires to take a larger share in, like Malaysia, Indonesia, and Vietnam. We believe that the return profile in these smaller markets should improve as Sun Life achieves better scale. To summarize, we don't see Sun Life as warranting a moat in its life insurance business across its geographic footprint in Canada, the US, and Asia markets.

We don't believe that Sun Life's asset management business (MFS and SLC) has a moat. Asset management contributes around 30% of the firm's earnings. Around 86% of its asset management earnings come from MFS, which we assess as not moaty in the traditional US asset manager space. MFS has around USD 651 billion in AUM as of December 2025 and is the 9th largest US retail asset manager. MFS is not immune to industrywide outflow issues and fee compression pressure in traditional asset management. Within MFS' managed assets, around 43% is allocated toward US equity, another 39% in global equity, 14% in fixed income and 4% in balanced strategies. MFS is actively developing its fixed income products and growing its non-US retail distribution capabilities, but its current heavy focus on the active equity space puts it in a difficult spot. Based on our analysis of Morningstar Direct data, MFS has around 55% of its AUM rated as 4- or 5-star funds by Morningstar's mutual fund rating. While we think MFS does have a well-known brand, its distribution is more heavily weighted toward the retail channel (around 70% of its AUM) and its clients are predominantly from the US. As such, MFS is more exposed to fee compression pressure from the gatekeepers of the broker/dealer and retail-advised networks. To this effect, we have seen MFS' pretax operating margin compress by 90 basis points to 37.5% from 2023 to 2025, with an average net outflow of 7.3% during the same time period.

On the other hand, Sun Life Capital Management has around CAD 260 billion in assets under management for third-party clients and around CAD 165 billion in AUM for its general accounts in the alternative asset class. SLC has enjoyed both organic growth and has made a few acquisitions in the past few years, adding GreenOak (rebranded to BGO later), InfraRed, and Crescent Capital Group to its platform. We think these acquisitions have broadened SLC's product capabilities and are

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complementary to Sun Life's own experience stemming from managing private assets in its insurance general accounts. The lockup periods of alternative asset management products help to limit the redemption and retain assets. As for distribution to high-net-worth clients, SLC acquired Advisors Asset Management in the US and partners with Scotiabank in its home market. While we think the firm's approach toward growing its alternative asset management platform is the right move and that SLC's flows have been proportionately better, it accounts for only 18% of the firm's asset management segment earnings. To sum up, while we think Sun Life's approach of actively growing its SLC business is the right move, but its current earnings contribution is small and we don't assess Sun Life's asset management business segment as moaty even though MFS has a well-known brand.

Fair Value and Profit Drivers Maoyuan Chen, Equity Analyst, 6 Mar 2026

We are increasing our fair value estimate for Sun Life to CAD 78 per share from CAD 75 per share after incorporating its latest results. Around CAD 1 of the increase comes from the time value of the money, and the remaining CAD 2 from higher near-term profitability. Our fair value estimate implies 1.9 times book value as of December 2025. We use an 11.0% cost of equity.

We project Sun Life's insurance revenue to grow at 5.4% CAGR over the next five years, driven by faster growth in its Asian markets and slower growth in its Canadian market. We expect its bancassurance partnerships and its Asian agent force to drive Asia insurance revenue CAGR of high-single digits in the next five years. For the US market, we have dialed back our near-term revenue growth assumptions given the headwinds in the US dental business. We forecast US insurance revenue to grow at a CAGR of 6% over the next five years. We expect its Canadian insurance revenue to grow at around 4% annually over the next five years. We project the firm's total insurance service expense will be around 85.1%-85.5% of its total insurance revenue over the next five years.

For Sun Life's asset management business, we project its total AUMA to grow at 4.5% CAGR over the next five years and fee income to grow at low-single-digit CAGR during the same period. We forecast the fee compression pressure on MFS' traditional managed funds to more than offset the benefit of SLC's alternative-asset inflows that come in at higher fee rates. We view the management team's medium-term target of growing SLC's earnings by 20%-plus CAGR and MFS' earnings by over 5% CAGR over the next five years as too ambitious.

We forecast an investment yield of 3.84% on the company's portfolio in the terminal year of our forecast. We project that Sun Life will have an total equity/asset ratio (without separate account assets) of 11% in our terminal forecast, and the return to equity will be around 16.8% in the terminal year of our projection, reflecting our midcycle forecasts for the company.

Risk and Uncertainty Maoyuan Chen, Equity Analyst, 6 Mar 2026

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We assign Sun Life a Medium Morningstar Uncertainty Rating. Life insurers are generally highly leveraged and are subject to various risks from capital markets, interest rates, and policyholder behavior. Life insurance companies establish liabilities for future benefits that are payable under insurance policies based on various underlying actuarial assumptions like mortality, lapse rate, investment returns, and so on. Various retirement and income products sold by Sun Life also expose the company to capital market and investment risks. An adverse market environment, unpredictable product performance, or unexpected insurance claims can potentially destroy several years of earnings or even put an insurer out of business. Sun Life conducts its business in many different markets and is subject to economic, political, regulatory, and currency risks. Overall, Sun Life has generally been prudent and has reduced the systematic risk in its business after the global financial crisis, but the risks inherent to the industry should not be ignored.

Additionally, the complexity of the products and the limited disclosures make it very difficult to understand the inherent risk profile of life insurance companies in stressful market environments. A sharp movement in interest rates can drastically change the market value of its fixed-income portfolio and also alter the profitability of the company as it has to reinvest its cash flows at different interest rates. According to the company's sensitivity test in December 2025, Sun Life's earnings sensitivity to a 25% decline in equity markets was negative CAD 550 million, and the potential impact on other comprehensive income of a 50-basis-point increase in interest rates was negative CAD 200 million.

From an environmental, social, and governance perspective, we view the largest risks as stemming from business ethics and product governance issues. We believe that management has adequately managed ESG risks thus far.

Capital Allocation Maoyuan Chen, Equity Analyst, 6 Mar 2026

We assign Sun Life Financial a Standard rating under our capital allocation methodology. In our opinion, the company's balance sheet is sound, its capital investment decisions are fair, and its capital return strategy is appropriate.

We believe that Sun Life is in good financial health with an appropriate capital structure and adequate liquidity to weather difficult economic environments and access future investment opportunities. The company has a LICAT ratio of 157% as of the fourth quarter of 2025, well above the 100% supervisory target of OSFI. In addition to this, the company also maintains a decent liquidity buffer at the holding company level. Like its peers, Sun Life has strong financial strength ratings of A or above for its various entities from the credit rating agencies (S&P, Moody's, Fitch, and A.M. Best). The company had an adjusted debt-to-capital ratio of 23.5% as of September 2025, which we think is manageable given its cash flows.

Kevin Strain became CEO in August 2021, replacing Dean Connor, who had led the firm since December 2011. Strain was executive vice president and CFO before taking the helm. Under Connor's tenure, Sun

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Life recovered from the global financial crisis, refocused on its core insurance operations, and moved to derisk aspects of its business, such as selling its US annuity unit. Connor also placed greater emphasis on the Asian market and asset management operations. We expect Strain to remain focused on its four long-term strategic priorities as delivered in Sun Life's 2024 investor day. The four pillars of its strategy are expanding its asset management and wealth business, accelerating Asia growth, increasing its health benefits market share and service offerings, and improving its digital capabilities.

We view the firm's capital investment decisions as fair and mostly in line with its four strategic pillars. In the asset management business, Sun Life made a series of bolt-on acquisitions in the alternative asset management space, expanding SLC's product offerings and distribution. For example, Sun Life acquired GreenOak and formed BGO (real estate) in 2019, acquired InfraRed (infrastructure) in 2020, Crescent (private credit) in 2021 and Advisors Asset Management in 2023. We expect the management team to remain open to bolt-on deals in the alternative space but we also note that competition with larger alternative asset managers for acquisition targets will likely get more difficult. For its Asian growth, Sun Life has partnered with a few banks in the local markets for bancassurance distribution networks. We note the firm took an impairment charge of CAD 186 million for Vietnam life insurance industry headwinds. The impairment charge was not large but we generally view investments in emerging markets as riskier than developed markets due to macro, geopolitical, and regulatory uncertainties.

In terms of health-related investments, Sun Life made a few acquisitions domestically as well as in the US. In Canada, the life insurer invested in Dialogue in 2020 and Pillway in 2023 for virtual care and virtual pharmacy offerings. In south of the border, Sun Life swung big with its $2.5 billion acquisition of DentaQuest, which was completed in June 2022. This acquisition follows other acquisitions in the US benefits space over the past decade like Assurant Employee Benefits in 2016, Maxwell Health in 2018, and PinnacleCare in 2021. We think that the DentaQuest acquisition makes strategic sense for the company as it should help Sun Life grow its US dental benefits business, but this business has been operating under depressed profitability for the past few quarters since late 2023. Medicaid budget cut also weighs on the firm's repricing negation with different states. While the firm is also working on cost reduction, the turnaround of its US dental business has not come yet.

We assess the company's capital return strategy as appropriate, especially given its business mix. The firm targets around 15% to 25% of its underlying earnings for organic reinvestment, 40% to 50% for dividends, with the remaining capacity for capital accretion, share buybacks, or M&A. In 2020 and 2021, Sun Life returned about CAD 1.4 billion annually to shareholders mostly in the form of dividends. The company returned approximately CAD 1.6 billion and CAD 1.9 billion in 2022 and 2023, respectively, mostly through dividends. In 2024 and 2025, the firm returned around CAD 2.7 billion and CAD 3.7 billion to shareholders, or 71% and 88% of its adjusted earnings. The capital returned to shareholders over the last five years amounts to approximately 60% of the company's adjusted earnings, which we

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Sun Life Financial Inc SLF ★★ 6 Mar 2026 21:53, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
89.54 CAD 5 Mar 2026	78.00 CAD 6 Mar 2026 21:51, UTC	1.15	48.81 CAD Bil 6 Mar 2026	None	Large Value	Medium	Standard	4 Mar 2026 06:00, UTC

think is suitable given the growth and capital requirements of the company.

Analyst Notes Archive

Sun Life Earnings: Strong Canada and Asia Segment Earnings Growth Maoyuan Chen,Equity Analyst,12 Feb 2026

Sun Life Financial reported solid fourth-quarter numbers. Underlying earnings per share came in at CAD 1.96 per share, up 17% compared with the year-ago period. Unfortunately, the firm's full-year 2025 underlying return on equity was 18.2%, below management's 20% target.Why it matters: Sun Life's Canada and Asia segments continued to be strong growth drivers for the firm, with year-over-year earnings growth of 14% and 18%, respectively. While profitability for the US segment improved in the fourth quarter, full-year 2025 adjusted earnings were essentially flat when compared with 2024. The firm previously noted it did not expect to achieve its target of $100 million in US dental underlying earnings, with full-year US dental earnings coming in at $35 million in 2025, compared with $23 million in 2024 and $90 million in 2023. Profitability for the US group benefits business benefited from an improvement in medical stop-loss experience in the fourth quarter, compared with the year-ago period, partially offset by higher distribution expenses and dental claims volumes. The bottom line: As we incorporate these results, we expect to increase our CAD 75/USD 53 per share fair value estimate for no-moat-rated Sun Life by midsingle digits. We would still assess the shares as overvalued, though, after updating our fair value estimate. While we are impressed by the double-digit earnings growth in the company's Asia and Canadian segments, our longer-term expectations for these two businesses are in the high-single-digit and mid-single-digit range, respectively. Key stats: The asset management business, which represents around a third of Sun Life's adjusted earnings, expanded its earnings by around 3% from a year ago. MFS' total assets under management increased 8% year over year to CAD 651 billion, while SLC's total fee-earnings AUM increased 4% year over year to CAD 200 billion.

Sun Life Earnings: Strong Asia Segment Earnings, but US Segment Continued to Drag Overall Results Maoyuan Chen,Equity Analyst,6 Nov 2025

Sun Life Financial reported lackluster third-quarter numbers. Underlying net income came at CAD 1.05 billion, or CAD 1.86 per share, up 6% compared with the year-ago period. Underlying return on equity was 18.3%, below management's 20% target. Why it matters: Sun Life's US segment continued to face headwinds from its dental business and medical stop-loss business, with earnings down 33% year over year. The Asia segment is still a bright spot for the firm, with strong earnings growth of 33% and is helped by favorable mortality experience in its individual protection business. The firm updated its US dental 2025 earnings outlook to be lower than $100 million in the second quarter, and year-to-date underlying net income was $18 million. Dental sales increased by 38% year over year in the third quarter, but the dental medicaid loss ratio increased to 94.2% from 92.6%. The US medical stop-loss

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Sun Life Financial Inc SLF ★★ 6 Mar 2026 21:53, UTC

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business was affected by unfavorable morbidity experience, and US employee benefits business was affected by adverse long-term disability experience. Overall, US group benefit underlying earnings decreased by 34% from the prior-year quarter. The bottom line: As we incorporate the latest results, we expect to maintain our CAD 74/USD 54 fair value estimates for no-moat-rated Sun Life. We assess the shares as overvalued. Relatively high interest rates and decent capital market returns have been tailwinds for earnings, but our midcycle normalized forecast assumes a step down from the current elevated level of investment yield. Between the lines: Asia business, which represents around 20% of Sun Life's earnings, continued to be a strong earnings driver for the firm. We like the firm's effort in growing the capital-light businesses like asset management and wealth management in Asia. The Asia segment's investment management AUM increased by 15% year over year to CAD 47 billion at the end of the September quarter.

Sun Life Earnings: Weak Results in Canada and US, and Lower 2025 Outlook for US Dental Business

Maoyuan Chen,Equity Analyst,8 Aug 2025

Sun Life Financial reported lackluster second-quarter numbers. Underlying net income came at CAD 1.02 billion, or CAD 1.79 per share, up 4% compared with the year-ago period. Underlying return on equity was 17.6%, below management's 20% target.Why it matters: Sun Life's Canada, US, and asset management segments all reported underwhelming results for the quarter. The firm also lowered its 2025 guidance for its US dental business; it now expects underlying net income to come in below USD 100 million. Underlying earnings for the Canada and US segments were down 6% and 4%, respectively, from the prior-year quarter, mostly driven by negative insurance experience and weaker investment results. Asset management earnings decreased 2% from the year-ago period, mostly driven by MFS net asset outflows in a period of elevated market volatility.The bottom line: As we incorporate the second-quarter results, we expect to maintain our CAD 74/USD 54 fair value estimate for Sun Life. We assess the shares as slightly overvalued after around an 8% price decline following the earnings release. Relatively high interest rates and decent capital market returns have been tailwinds for earnings, but our midcycle normalized forecast assumes a step down from the current elevated level of investment yield.Key stats: The Asia segment was the only bright spot in the second quarter, with underlying earnings growing 15% from a year ago, or 13% on a constant-currency basis. Strong sales and profit margins led to a 34% increase in new business contractual service margins, which should support future earnings growth.

Sun Life: We Expect Asia to Be a Major Growth Driver; Slightly Increasing Fair Value Estimate

Maoyuan Chen,Equity Analyst,27 Jun 2025

We are transferring coverage of Sun Life Financial to a new analyst. Sun Life is one of the Big Three Canadian life insurers and has operations in Canada, the US, and various Asian markets. The bottom line: We are maintaining our no-moat rating, Medium Uncertainty Rating, and Standard Capital

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Sun Life Financial Inc SLF ★★ 6 Mar 2026 21:53, UTC

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89.54 CAD 5 Mar 2026	78.00 CAD 6 Mar 2026 21:51, UTC	1.15	48.81 CAD Bil 6 Mar 2026	None	Large Value	Medium	Standard	4 Mar 2026 06:00, UTC

Allocation Rating for Sun Life. We are slightly increasing our fair value estimates to CAD 74/USD 54 from CAD 72/USD 51. We view shares as overvalued. Sun Life has leading market shares in its domestic market across various life insurance products and retirement services, and we view its domestic return profile as better than its US and Asia businesses. That being said, we still don't think Sun Life has a moat as competition is intense in the life insurance industry, products are largely undifferentiated, and consumers largely make choices based on pricing. Key stats: We expect Sun Life to grow its insurance revenue at a 7.9% CAGR over the next five years, mostly driven by strong growth in its Asia business at a high-single-digit CAGR. We forecast a recovery in its US insurance revenue in 2025 of 20% from repricing in its medical stop-loss business and negotiations with different states' Medicaid dental plans. We expect its Canadian insurance revenue to grow at around 5%-6% over the next five years, as this market is mature and the growth opportunity is more limited. Between the lines: Sun Life's exposure to the wealth and asset management business is higher than its Canadian life insurance peers, which is around 40% of its underlying earnings. This asset-light business is less risky than its life insurance operations and generates stable cash flows for the firm.

Sun Life Earnings: Strong All-Around Results as Dividend Is Increased by 5% Suryansh Sharma,Director,9 May 2025

Sun Life reported strong all-around numbers in the first quarter as underlying net income came at CAD 1.05 billion, or CAD 1.82 per share, during the quarter, which was 21% higher when compared with the previous year. The firm reported an adjusted return on equity of 17.7% for the first quarter. Why it matters: All major product segments of the company had solid performance during the quarter, including asset management, group insurance, and individual insurance. Assets under management, or AUM, for Sun Life expanded by around 6% year over year to CAD 1.55 trillion during the first quarter when compared with the previous year. Profitability in the firm's wealth and asset management operations was 19% higher due to higher fee income and operating leverage in the business. The bottom line: We are maintaining our CAD 72 per share fair value estimate for no-moat-rated Sun Life Financial. We continue to believe the shares are slightly overvalued. Higher interest rates and buoyant capital markets have been a tailwind for the company in recent quarters resulting in higher investment earnings and AUM. We would note, though, that a correction in capital markets or lower interest rates would be a net negative for the company. Key stats: Sun Life increased its quarterly dividend by 5% to CAD 0.88 per share from CAD 0.84 per share. The increased dividend represents a 4% dividend yield relative to the current stock price. The company remains robust from a financial standpoint, with its LICAT ratio at 149% and its financial leverage ratio at a comfortable 20.1% as of the end of the first quarter of 2025.

Sun Life Earnings: Shares Correct 9% on Underwhelming Results in the US Business Suryansh Sharma,Director,13 Feb 2025

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Sun Life Financial Inc SLF ★★ 6 Mar 2026 21:53, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
89.54 CAD 5 Mar 2026	78.00 CAD 6 Mar 2026 21:51, UTC	1.15	48.81 CAD Bil 6 Mar 2026	None	Large Value	Medium	Standard	4 Mar 2026 06:00, UTC

Sun Life reported lackluster numbers in the fourth quarter as underlying net income came at CAD 0.97 billion or CAD 1.68 per share during the quarter, flat compared with the previous year. The firm reported an adjusted return on equity of 16.5% during the quarter. Why it matters: The asset management arm of the company reported strong capital raising and impressive growth on the back of buoyant asset valuations, but the US business had subdued profitability. Overall, assets under management, or AUM, grew by around 10% during the fourth quarter compared with the previous year of CAD 1.54 trillion. Profitability in the wealth and asset management business was around 11% higher on a year-over-year basis due to higher fee income. The US business reported underlying profits of CAD 161 million during the quarter compared with an average of CAD 216 million in the past four quarters. The decline can be attributed to unfavorable morbidity experience in medical stop-loss business driven by claims severity. The bottom line: We are maintaining our CAD 66 per share fair value estimate for no-moat-rated Sun Life Financial and continue to believe that the shares are slightly overvalued. Higher interest rates have been a tailwind for the company in the past few quarters, resulting in higher investment earnings. Lower rates would be a net negative. Any significant correction in capital markets would also have a substantial impact on the company given its high exposure to the asset and wealth management business. Key stats: The company reported an impairment charge of CAD 186 million on intangible assets related to bancassurance in Vietnam due to changes in regulatory and macroeconomic factors in the country. Sun Life paid a quarterly dividend of CAD 0.84 per share in the fourth quarter, up 3.7% sequentially, representing a 4.4% dividend yield as per the current stock price.

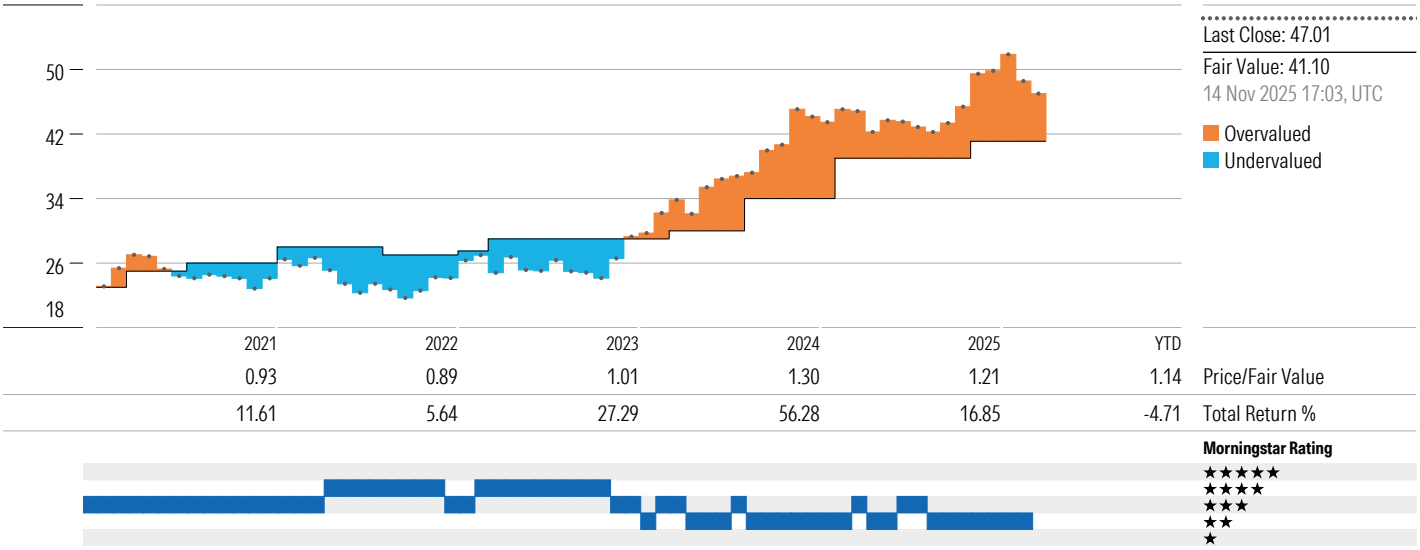
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Competitors Price vs. Fair Value

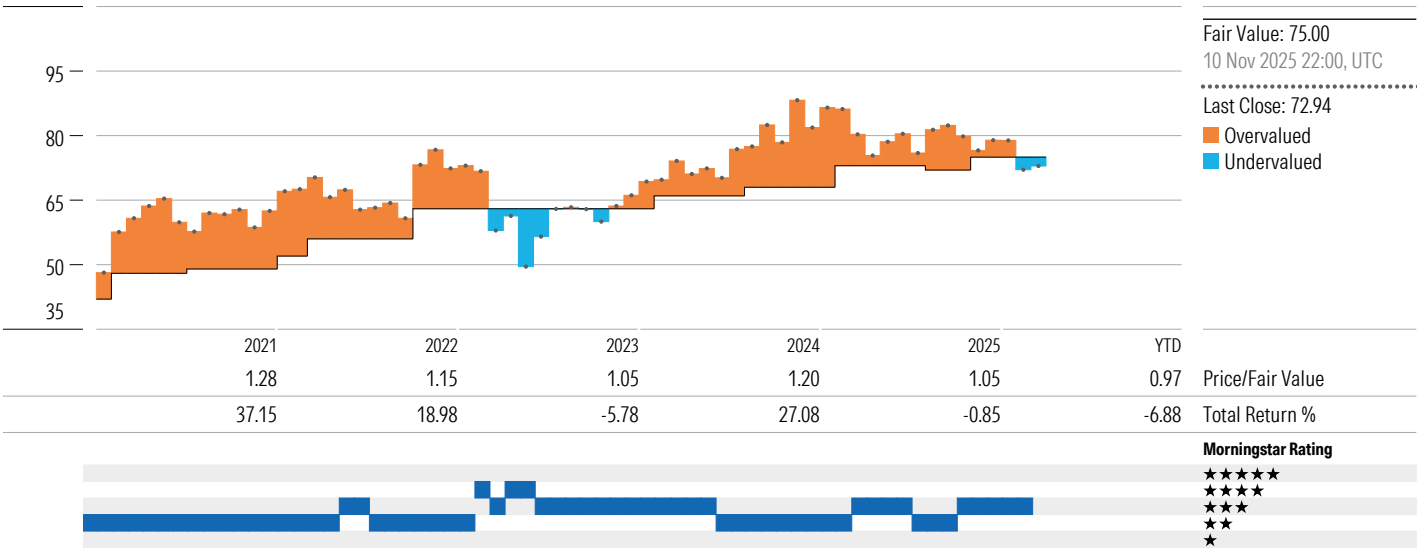
Manulife Financial Corp MFC



	2021	2022	2023	2024	2025	YTD
Price/Fair Value	0.93	0.89	1.01	1.30	1.21	1.14
Total Return %	11.61	5.64	27.29	56.28	16.85	-4.71

Total Return % as of 05 Mar 2026. Last Close as of 05 Mar 2026. Fair Value as of 14 Nov 2025 17:03, UTC.

MetLife Inc MET



	2021	2022	2023	2024	2025	YTD
Price/Fair Value	1.28	1.15	1.05	1.20	1.05	0.97
Total Return %	37.15	18.98	-5.78	27.08	-0.85	-6.88

Total Return % as of 05 Mar 2026. Last Close as of 05 Mar 2026. Fair Value as of 10 Nov 2025 22:00, UTC.

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Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
89.54 CAD 5 Mar 2026	78.00 CAD 6 Mar 2026 21:51, UTC	1.15	48.81 CAD Bil 6 Mar 2026	None	Large Value	Medium	Standard	4 Mar 2026 06:00, UTC

Morningstar Valuation Model Summary

Financials as of 11 Nov 2025

Fiscal Year, ends 31 Dec	Actual 2022	2023	2024	Forecast 2025	2026	2027	2028	2029
Net Earned Premiums (CAD Mil)	18,749	21,287	22,722	23,950	25,221	26,562	27,977	29,471
Net Investment Income (CAD Mil)	6,002	6,763	7,326	7,456	7,811	8,104	8,542	9,004
Total Revenue (CAD Mil)	5,616	40,705	38,718	40,664	42,426	44,389	46,589	48,912
Expenses (CAD Mil)	1,990	36,775	34,379	35,911	37,212	38,628	40,647	42,772
Net Income (CAD Mil)	2,871	3,086	3,049	3,599	3,892	4,308	4,447	4,598
Adjusted Net Income (CAD Mil)	2,871	3,086	3,049	3,599	3,892	4,308	4,447	4,598
Weighted Average Diluted Shares Outstanding (Mil)	589	589	582	545	546	527	509	491
Earnings Per Share (Diluted) (CAD)	4.87	5.24	5.24	6.60	7.13	8.18	8.74	9.36
Adjusted Earnings Per Share (Diluted) (CAD)	4.87	5.24	5.24	6.60	7.13	8.18	8.74	9.36
Dividends Per Share (CAD)	2.74	2.99	3.22	3.29	3.39	3.49	3.60	3.70

Margins & Returns as of 11 Nov 2025

	3 Year Avg	Actual 2022	2023	2024	Forecast 2025	2026	2027	2028	2029	5 Year Avg
Investment Yield %	4.1	3.5	4.3	4.6	4.2	4.3	4.2	4.2	4.2	4.2

Growth & Ratios as of 11 Nov 2025

	3 Year Avg	Actual 2022	2023	2024	Forecast 2025	2026	2027	2028	2029	5 Year Avg
Net Earned Premium Growth %	0.5	-18.7	13.5	6.7	5.4	5.3	5.3	5.3	5.3	5.3
Net Investment Income Growth %	5.6	-4.3	12.7	8.3	1.8	4.8	3.8	5.4	5.4	4.2
Total Revenue Growth %	178.6	-84.3	624.8	-4.9	5.0	4.3	4.6	5.0	5.0	4.8
Net Income Growth %	-6.9	-27.0	7.5	-1.2	18.0	8.2	10.7	3.2	3.4	8.7
Adjusted Net Income Growth %	-6.9	-27.0	7.5	-1.2	18.0	8.2	10.7	3.2	3.4	8.7
Earnings Per Share Growth %	-6.5	-26.9	7.5	—	26.0	8.0	14.7	6.9	7.1	12.5
Adjusted Earnings Per Share Growth %	-6.5	-26.9	7.5	0.0	26.0	8.0	14.7	6.9	7.1	12.5

Valuation as of 11 Nov 2025

	Actual 2022	2023	2024	Forecast 2025	2026	2027	2028	2029
Price/Earning	12.9	13.1	16.3	13.6	12.6	10.9	10.2	9.6
Price/Book	—	—	—	—	—	—	—	—
Price/Tangible Book	—	—	—	—	—	—	—	—
Dividend Yield %	4.4	4.4	3.8	3.7	3.8	3.9	4.0	4.1
Dividend Payout %	56.2	57.1	61.5	49.9	47.5	42.7	41.2	39.6

Operating Performance / Profitability as of 11 Nov 2025

Fiscal Year, ends 31 Dec	Actual 2022	2023	2024	Forecast 2025	2026	2027	2028	2029
ROA %	1.4	1.5	1.4	1.6	1.7	1.8	1.7	1.7
ROE %	—	—	—	—	—	—	—	—
ROTE %	17.0	12.9	14.8	13.7	15.7	16.3	16.7	16.5

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Financial Leverage (Reporting Currency)	Actual			Forecast				
Fiscal Year, ends 31 Dec	**2022**	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**
Equity/Assets %	10.2	10.4	10.5	10.0	10.5	10.5	10.5	10.5

Forecast Revisions as of	–		–		–	
Prior data as of	**Current**	**Prior**	**Current**	**Prior**	**Current**	**Prior**
Fair Value Estimate Change (Trading Currency)	78.00	—	—	—	—	—
Net Earned Premium (CAD Mil)	23,950	25,721	25,221	27,487	26,562	29,219
Total Revenue (CAD Mil)	40,664	43,524	42,426	45,473	44,389	47,898
Net Income (CAD Mil)	3,599	4,007	3,892	4,185	4,308	4,267
Earnings Per Share (Diluted) (CAD)	6.60	6.66	7.13	7.09	8.18	7.42
Adjusted Earnings Per Share (Diluted) (CAD)	6.60	6.66	7.13	7.09	8.18	7.42
Dividends Per Share (Diluted) (CAD)	3.29	3.29	3.39	3.39	3.49	3.49

Key Valuation Drivers as of 11 Nov 2025

Cost of Equity %	11.0
Average Forward 5 Yr ROE %	—
Average Forward 5 Yr ROE, Excluding Goodwill %	—
Stage II Net Income Growth Rate %	12000000.0
Stage II Incremental ROE %	4000000.0
Perpetuity Year	10000000

Additional estimates and scenarios available for download at https://pitchbook.com/.

Discounted Cash Flow Valuation as of 11 Nov 2025

	CAD Mil
Present Value Stage I	12,690
Present Value Stage II	8,256
Present Value of the Perpetuity	20,469
Other Adjustments	0
Equity Value	**41,415**
Projected Diluted Shares	545
Fair Value per Share (CAD)	**78.00**

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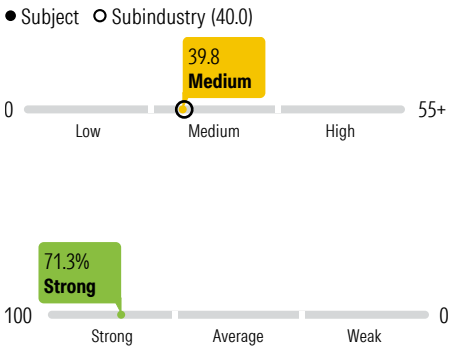
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Sun Life Financial Inc SLF ★★ 6 Mar 2026 21:53, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
89.54 CAD 5 Mar 2026	78.00 CAD 6 Mar 2026 21:51, UTC	1.15	48.81 CAD Bil 6 Mar 2026	None	Large Value	Medium	Standard	4 Mar 2026 06:00, UTC

ESG Risk Rating Breakdown





- Exposure represents a company's vulnerability to ESG risks driven by their business model
- Exposure is assessed at the Subindustry level and then specified at the company level
- Scoring ranges from 0-55+ with categories of low, medium, and high-risk exposure

- Management measures a company's ability to manage ESG risks through its commitments and actions
- Management assesses a company's efficiency on ESG programs, practices, and policies
- Management score ranges from 0-100% showing how much manageable risk a company is managing

ESG Risk Rating



ESG Risk Ratings measure the degree to which a company's value is impacted by environmental, social, and governance risks, by evaluating the company's ability to manage the ESG risks it faces.

1. A company's Exposure to material ESG issues 2. Unmanageable Risk refers to risks that are inherent to a particular business model that cannot be managed by programs or initiatives 3. Managed Risk = Manageable Risk multiplied by a Management score of 71.3% 4. Management Gap assesses risks that are not managed, but are considered manageable 5. ESG Risk Rating Assessment = Overall Unmanaged Risk = Management Gap plus Unmanageable Risk

ESG Risk Rating Assessment[5]



ESG Risk Rating is of Mar 04, 2026. Highest Controversy Level is as of Feb 08, 2026. Sustainalytics Subindustry: Life and Health Insurance. Sustainalytics provides Morningstar with company ESG ratings and metrics on a monthly basis and as such, the ratings in Morningstar may not necessarily reflect current Sustainalytics' scores for the company. For the most up to date rating and more information, please visit: sustainalytics.com/esg-ratings/.

Peer Analysis 04 Mar 2026

Peers are selected from the company's Sustainalytics-defined Subindustry and are displayed based on the closest market cap values

Company Name	Exposure			Management			ESG Risk Rating		
Sun Life Financial Inc	39.8 | Medium	0	55+	71.3 | Strong	100	0	12.9 | Low	0	40+
Manulife Financial Corp	37.4 | Medium	0	55+	73.5 | Strong	100	0	11.4 | Low	0	40+
MetLife Inc	38.8 | Medium	0	55+	65.8 | Strong	100	0	14.6 | Low	0	40+
Prudential Financial Inc	41.0 | Medium	0	55+	56.2 | Strong	100	0	19.3 | Low	0	40+
Great-West Lifeco Inc	40.5 | Medium	0	55+	46.1 | Average	100	0	22.8 | Medium	0	40+

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Appendix

Historical Morningstar Rating

Sun Life Financial Inc SLF 5 Mar 2026 23:05, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	—	★★	★★	★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★	★★★	★★	★★★	★★★	★★	★★	★★	★★	★★	★★★	★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★	★★	★★	★★	★★★	★★★	★★★	★★★	★★★	★★★	★★	★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★	★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★	★★★	★★★★	★★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★

Manulife Financial Corp MFC 5 Mar 2026 23:05, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	—	★★	★★	★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★	★★	★★	★★	★★★	★★★	★★	★★	★★★	★★	★★	★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★	★★	★★	★★	★★★	★★	★★	★★	★★★	★★★	★★	★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★	★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★	★★★	★★★	★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★

MetLife Inc MET 5 Mar 2026 22:34, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	—	★★★	★★★	★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★	★★★	★★	★★	★★	★★★	★★★	★★★	★★★	★★	★★	★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★	★★	★★	★★	★★	★★	★★★	★★★	★★★	★★★	★★★	★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★	★★★	★★★	★★★	★★★	★★★	★★★★	★★★★	★★★	★★★★	★★	★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★	★★	★★	★★	★★	★★★	★★★	★★	★★	★★	★★	★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★	★★	★★	★★	★★	★★	★★	★★	★★	★★	★★	★★

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Research Methodology for Valuing Companies

Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, indepth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss shortterm market-price movements), but we believe these negatives are mitigated by deep analysis and our longterm approach.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our singlepoint star rating.

1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

When considering a company's moat, we also assess whether there is a substantial threat of value destruction, stemming from risks related to ESG, industry disruption, financial health, or other idiosyncratic issues. In this context, a risk is considered potentially value destructive if its occurrence would eliminate a firm's economic profit on a cumulative or midcycle basis. If we deem the probability of occurrence sufficiently high, we would not characterize the company as possessing an economic moat.

2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in workingcapital accounts, and capital spending. Based on these projections, we calculate earnings before interest, after taxes (EBI) and the net new investment (NNI) to derive our annual free cash flow forecast.

Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

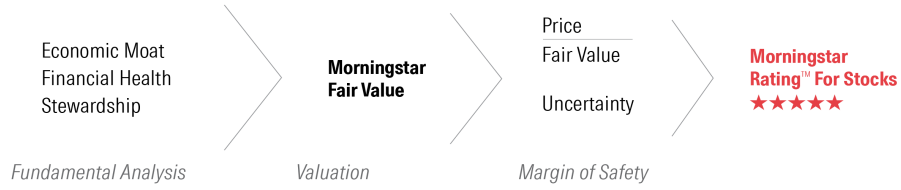
Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating is designed to capture the range of potential outcomes for a company's intrinsic value. This rating is used to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating is aimed at identifying the confidence we should have in assigning a fair value estimate for a given stock.

Our Uncertainty Rating is meant to take into account anything that can increase the potential dispersion of future

Morningstar Equity Research Star Rating Methodology



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outcomes for the intrinsic value of a company, and anything that can affect our ability to accurately predict these outcomes. The rating begins with a suggested rating produced by a quantitative process based on the trailing 12-month standard deviation of daily stock returns. An analyst overlay is then applied, with analysts using the suggested rating, historical rating data, and their own knowledge of the company to inform them as they make the final Uncertainty Rating decision. Ultimately, the rating decision rests with the analyst. Analysts take into account many characteristics when making their final decision, including cyclical factors, operational and financial factors such as leverage, company-specific events, ESG risks, and anything else that might increase the potential dispersion of future outcomes and our ability to estimate those outcomes.

Our recommended margin of safety—the discount to fair value demanded before we'd recommend buying or selling the stock—widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the potential dispersion of outcomes, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the Uncertainty Rating provides guidance in portfolio construction based on risk tolerance.

Our Uncertainty Ratings are: Low, Medium, High, Very High, and Extreme.

	Margin of Safety	
Qualitative Analysis Uncertainty Ratings	★★★★★Rating	★Rating
Low	20% Discount	25% Premium
Medium	30% Discount	35% Premium
High	40% Discount	55% Premium
Very High	50% Discount	75% Premium
Extreme	75% Discount	300% Premium

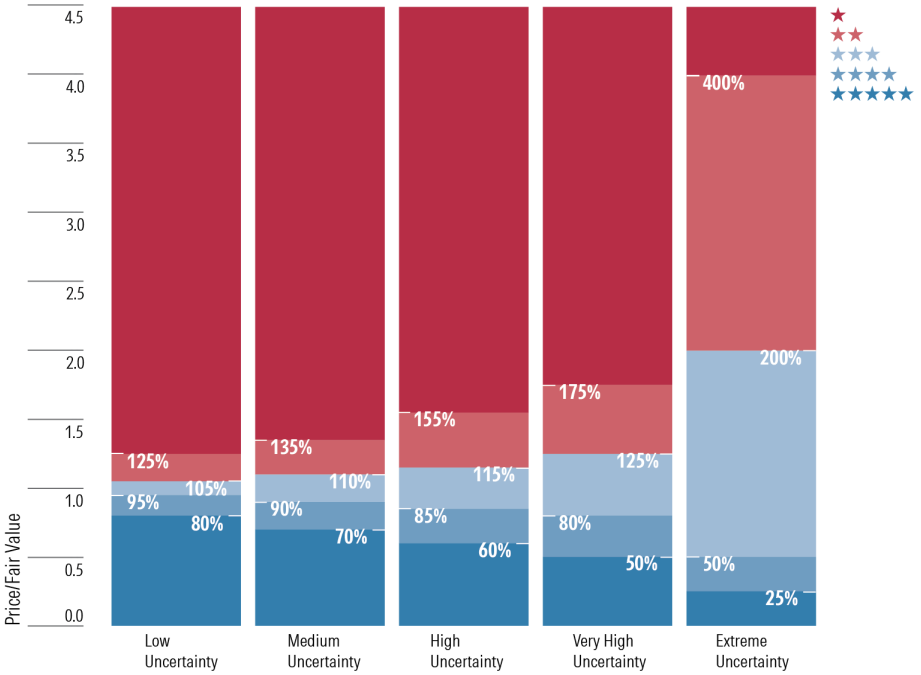
Our uncertainty rating is based on the interquartile range, or the middle 50% of potential outcomes, covering the 25th percentile–75th percentile. This means that when a stock hits 5 stars, we expect there is a 75% chance that the intrinsic value of that stock lies above the current market price. Similarly, when a stock hits 1 star, we expect there is a 75% chance that the intrinsic value of that stock lies below the current market price.

4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more details about our methodology, please go to https://shareholders.morningstar.com

Morningstar Equity Research Star Rating Methodology



Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

★★★★★ We believe appreciation beyond a fair risk adjusted return is highly likely over a multiyear time frame. Scenario analysis developed by our analysts indicates that the current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multiyear time frame, based on our analysis. Scenario analysis by our analysts indicates that the market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

Other Definitions

Last Price: Price of the stock as of the close of the market of the last trading day before date of the report.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments,

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and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments, and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Sustainalytics ESG Risk Rating Assessment: The ESG Risk Rating Assessment is provided by Sustainalytics; a Morningstar company.

Sustainalytics' ESG Risk Ratings measure the degree to which company's economic value at risk is driven by environment, social and governance (ESG) factors.

Sustainalytics analyzes over 1,300 data points to assess a company's exposure to and management of ESG risks. In other words, ESG Risk Ratings measures a company's unmanaged ESG Risks represented as a quantitative score. Unmanaged Risk is measured on an open-ended scale starting at zero (no risk) with lower scores representing less unmanaged risk and, for 95% of cases, the unmanaged ESG Risk score is below 50.

Based on their quantitative scores, companies are grouped into one of five Risk Categories (negligible, low, medium, high, severe). These risk categories are absolute, meaning that a 'high risk' assessment reflects a comparable degree of unmanaged ESG risk across all subindustries covered.

The ESG Risk Rating Assessment is a visual representation of Sustainalytics ESG Risk Categories on a 1 to 5 scale. Companies with Negligible Risk = 5 Globes, Low Risk = 4, Medium Risk = 3 Globes, High Risk = 2 Globes, Severe Risk = 1 Globe. For more information, please visit sustainalytics.com/esg-ratings/

Ratings should not be used as the sole basis in evaluating a company or security. Ratings involve unknown risks and uncertainties which may cause our expectations not to occur or to differ significantly from what was expected and should not be considered an offer or solicitation to buy or sell a security.

Risk Warning

Please note that investments in securities are subject to market and other risks and there is no assurance or guarantee that the intended investment objectives will be achieved. Past performance of a security may or may not be sustained in future and is no indication of future performance. A security investment return and an investor's principal value will fluctuate so that, when redeemed, an investor's shares may be worth more or less than their original cost. A security's current investment performance may be lower or higher than the investment performance noted within the report. Morningstar's Uncertainty Rating serves as a useful data point with respect to sensitivity analysis of the assumptions used in our determining a fair value price.

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